rules of the economic game. Under these circumstances, even the strongest power, China, must strive to establish formal rules and governance to convince the market of its credibility by tying its own hands. Some China specialists have argued that domestic economic and political reformers favor renminbi (RMB) internationalization for precisely these reasons (see Chapter 4).

On the regional and international level, the BRICS have managed to amass capabilities and collective financial statecraft strategies to influence financial and economic governance. The ultimate challenge lies in whether the new multilateral financial institutions established by their efforts would withstand the test of market and changing economic environments through formalizing arrangements, a framework that the BRICS have resisted to varying degrees. There is an obvious trade-off between hard (legalistic, binding, and enforceable) and formal rules versus soft (nonbinding and nonenforceable) and informal rules that comes from the flexibility that the latter provides as opposed to the precise obligations and enforcement for the former.[53] The incumbent powers will insist on their formal rules for governance and institutions that have served them well in order to lock in the existing power disparities that are being jeopardized by the rising powers.[54]

Currently, the BRICS powers face pressure from domestic sources to improve domestic economic performance through greater adherence to formal rules, legal accountability, and checks and balances to stymie corruption, or the use of public resources for private rent-seeking. At the same time, the BRICS are likely to continue to struggle against the pressure toward formal rules and institutions to accommodate market demands and to enhance their collective power to reflect their preferences in global economic governance.

SUMMING UP: THE BRICS, COLLECTIVE FINANCIAL STATECRAFT, AND THE MULTIPOLAR FUTURE

This book has examined the collective financial statecraft of the BRICS since the group's emergence in the second half of the 2000s, which is a significant development in the international political economy of our times. In doing so, the volume addresses four questions. First, how and why did a disparate, and widely geographically-dispersed group of countries decide to constitute themselves as a multilateral club? Second, what has been the nature of this cooperation in the realms of international financial governance and collective